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August 8, 2018					
FEDERAL MARITIME COMMISSION					

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DOCKET NO. 18-03

JC HORIZON LTD.

v.

CHINA SHIPPING CONTAINER LINES CO. LTD.

**INITIAL DECISION APPROVING SETTLEMENT AGREEMENT
AND DISMISSING PROCEEDING WITH PREJUDICE¹**

I.

On August 3, 2018, Complainant JC Horizon Ltd. (“JCH”) and Respondent China Shipping Container Lines Co. Ltd. (“CSCL”) filed a joint motion for approval of settlement and voluntary dismissal (“settlement motion”). The parties attached a copy of the satisfaction of award and release (“settlement agreement”). The parties jointly move for approval of the settlement and voluntary dismissal with prejudice.

II.

On May 15, 2018, a notice of filing of complaint and assignment was issued indicating that JCH filed a complaint against CSCL alleging numerous violations of the Shipping Act of 1984 (“Shipping Act”). On June 25, 2018, CSCL filed its answer denying the allegations.

The parties state that they have “negotiated a settlement which resolves all outstanding disputes regarding the fall 2014 container shipment” and that “the settlement is the result of arms-length negotiations between two sophisticated entities, both of whom were represented by counsel at all times.” Motion at 2.

¹ This Initial Decision will become the decision of the Commission absent review by the Commission. 46 C.F.R. § 502.227.

III.

Using language borrowed in part from the Administrative Procedure Act,² Rule 75 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, inter alia, to submit offers of settlement "where time, the nature of the proceeding, and the public interest permit." 46 C.F.R. § 502.75(b).

The Commission has a strong and consistent policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092, quoting 15A American Jurisprudence, 2d Ed., 777-778 (1976).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal*, 18 S.R.R. at 1092. However, if "a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Old Ben Coal*, 18 S.R.R. at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

² "The agency shall give all interested parties opportunity for – (1) the submission and consideration of facts, arguments, offers of settlement, or proposals of adjustment when time, the nature of the proceeding, and the public interest permit." 5 U.S.C. § 554(c).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

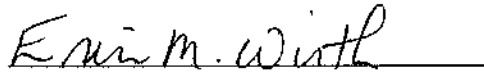
Based on the representations in the settlement motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The parties are represented by counsel. The proceeding is in an early stage and resolution would require potentially expensive discovery and briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. There is no evidence of fraud, duress, undue influence, or mistake nor harm to the public. Accordingly, the settlement agreement is approved.

IV.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the motion to approve the settlement agreement between JC Horizon Ltd. and China Shipping Container Lines Co. Ltd. be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.


Erin M. Wirth
Administrative Law Judge